

Spin City

They like to put their own spin on the matter. I hold in my hand a mailing that I have just received, offering me yet another card. The fine print insert of the four-page solicitation gives me “important information about procedures for applying for a new account.” The credit card company has every right to review my credit history before they give me a credit card, but now they want me to fall under the spell that they are patriots as well. This is the first paragraph of the disclosure statement:

“To help the government fight the funding of terrorism and money laundering activities, Federal law requires all financial institutions to obtain, verify, and record information that identifies each person who opens an account. What this means for you: When you apply for or open an account, we will ask for your name, address, date of birth, and other information that will allow us to identify you.”

The waters get murkier and murkier. They will check you out to see if you are a terrorist, and while they are at it, they will look to see if you have paid late to any of your other lenders recently. Once you have a credit card account with a company, they continue to monitor your credit report, even if you are an excellent customer. In fact, if you are an excellent customer who pays timely, universal default may be the only way they can squeeze more money out of you.

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Study that fine print. If there is more than one interest rate on the account, for example, because of a limited time offer on purchases or on balance transfers, any payment made will be applied to balances with the lower interest rate first. Meanwhile, interest continues to compound on the balance with the higher rate. A great and fully legal gimmick. It pays to have friends in high places. The credit card companies and their government pals have it all worked out.

Rolling balances are another hidden trick that the credit card gurus love. If you start with a zero balance, make purchases during